

The tenant filed a claim with the Residential Tenancies Branch. The Branch held a hearing on March 7, 2012. The tenant submitted a signed declaration that he gave the landlord a copy of the Claim and Notice of Hearing at least 5 days before the hearing. The tenant and landlord came to the hearing and gave evidence.

TENANT'S CLAIM:

Rent: \$ 5.00 per month reduction in rent for the duration of pool repairs plus costs

Total: \$ 5.00 per month reduction in rent for the duration of pool repairs plus costs.

Because this is the tenant's claim against the landlord, the tenant must prove

- That the tenant suffered a financial loss;
- That the loss took place during the tenancy;
- That the loss was caused by the landlord; and,
- The amount of the loss.

Section 55 of the Act says that when someone violates responsibilities and causes a loss to the other party, then he or she must compensate the other party for the loss.

RENT: The tenant claims a refund of rent in the amount of \$5.00 for each month from March 2011 up to and including the month in which pool repairs are completed.

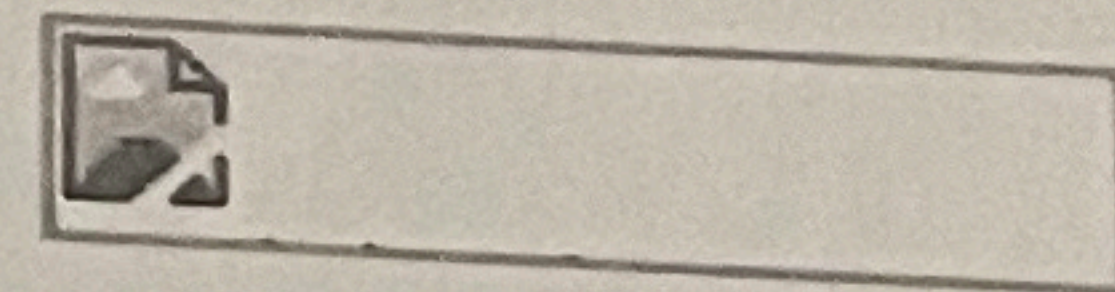
Tenant's evidence:

It is the tenant's position that the landlord should be offering tenants a rent refund of \$5.00 per month while the pool facility in the rental complex has been closed. The tenant cites sections 61 and 138 to support his case.

The tenant came up with the amount of \$5.00 per month as a fair and reasonable estimate of the value of the availability of the pool facility.

The tenant stated that the pool has been closed since March 2011 and remains closed. The landlord has not reduced the rent as a result of the pool closure and so the tenant believes he is entitled to a refund. The landlord has not advised the tenants of the date on which the pool repairs are expected to be completed.

The tenant argues that the pool is a service and/or facility and the tenants should be given notice of any withdrawal of service. He argues that pursuant to section 61 of the residential Tenancies Act, a landlord should not withhold, reduce, or interfere with any services and facilities supplied to a rental unit or residential complex.



The tenant argues that the exception cited in s. 61 (3) for withholding a service or facility temporarily for repair purposes does not apply in this case because the withdrawal of the pool facility should not be considered "temporary" given the length of time the pool has been and continues to be unusable.

The issue he says, is the length of time that the repairs have been taking and the word "temporary" in the section, is open to interpretation and should be taken in context.

The tenant provided a copy of the order and reasons of the Honourable Justice Oliphant of the Court of Queen's Bench of Manitoba from the case "Manitoba v. Health Sciences Centre" dated January 6, 2000. He referred to paragraph 31 in support of his claim. Paragraph 31 says: "The modern rule endorses an approach to statutory interpretation, or construction, that is contextual in nature. This means that when interpreting statutes, courts must avoid looking at a section of the statute being interpreted in isolation. Rather, the section in question must be interpreted in the context of the statute as a whole. When engaged in the task of statutory interpretation, courts must have regard for the legislative purpose of the legislation being interpreted and the scheme employed by the Legislature in attempting to achieve that purpose."

The tenant says he is not getting the services and facilities he pays for when he gives rent money to the landlord.

The tenant suggests one of two remedies as follows: 1) an Order to reduce the tenant's rent by \$5.00 per month until the pool area is re-opened along with written notice of the pool re-opening date; or 2) an Order that 61(3) does not apply and therefore the landlord must comply with section 138 of the Act.

Landlord's evidence:

The landlord said they had a responsibility to ensure that necessary repairs are completed to the pool area. The landlord has no intention to withdraw or reduce any of the services that the landlord provides to the tenants. The repair is intended to be a permanent repair. The pool and atrium were built in 1988 and were in dire need of repair.

The landlord argues that the restoration is being completed as expeditiously as possible. It is unreasonable for tenants to expect no interruption of services given the extent of the restoration project. The landlord also has no intention to apply for an increase in rent to help defray the landlord's considerable costs associated with this project.

The consequences of not completing the restoration are that: the entire complex could be flooded; bricks could have fallen from the roof; the entire structure was extremely unsafe; skylights and windows were in very poor condition and the panes could have fallen out; the structure is not sanitary if there is water intrusion into the roof and walls.

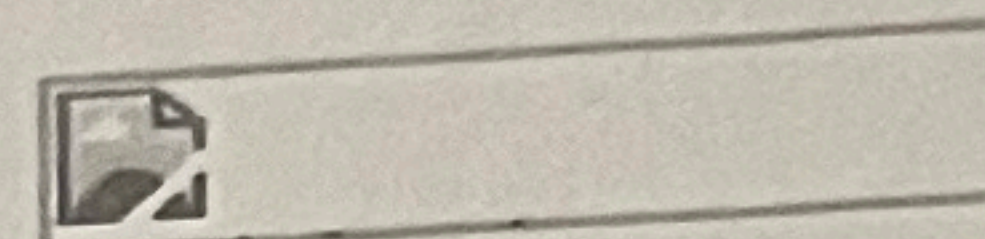
As a result of completing the project, tenants will have a new and improved up to date pool with bathroom facilities.

The landlord's witness Hildor Wiens gave the following evidence regarding the natatorium restoration project:

Project timeline

March 2, 2010 - Pool inspection report is prepared by Hildor Wiens following a visual inspection of the pool. The report is presented to the owners of the property for approval of the

project. At this time, the proposal includes repairs to loose tile on the deck floor, repairs to remediate foggy windows with broken seals and the addition of a bathroom facility as recommended by the city health department

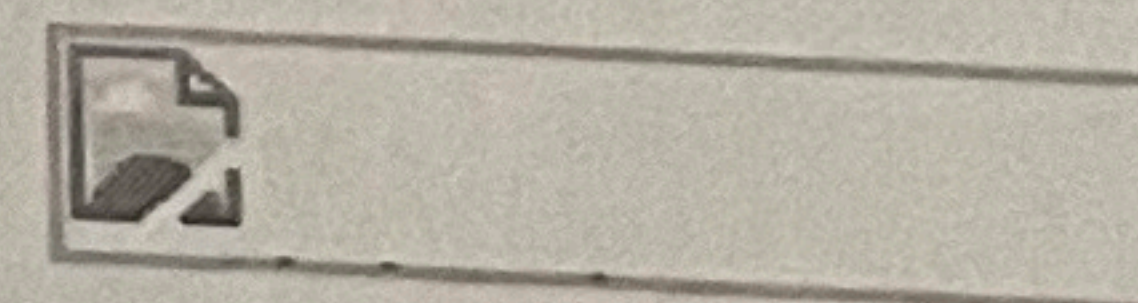


November 2010 - architects had designed the washroom and shower area
November 22, 2010 - estimate received for tile replacement from Fabris Milano
April 2011 - owners accepted quote for tile replacement and bathroom addition
April 29, 2011 - notice to tenants of pool closure
May 13, 2011 - pool closed
May 24, 2011 - Fabris Milano started demolition of tiles on walls and pool deck
June 2011 - demolition complete and deck under tile is inspected by engineering consultants who recommended further inspection of beams as rust spots were visible
August 2011 - investigation completed by Crosier Kilgour & Partners Ltd. Consulting Structural Engineers
August 30, 2011 - report received from Crosier Kilgour & Partners Ltd.; quote received from Allied Roofing
September 30, 2011 - estimates received from all sub contractors
October 3, 2011 - Allied began roof removal and reconstruction - once roof was removed, gable support walls were found to be extremely deteriorated. Alpha Masonry was contracted.

Around this time, the tile installers refused to install any tiles until the roof was completed as there was concern that debris falling from the roof could damage the glass tiles.

November 7, 2011 - gable is repaired
December 6, 2011 - roof repair is completed and skylights are sealed off
December 12, 2011 - painting is started
December 22, 2011 - painting is completed
January 3, 2012 - Fabris returns to commence tile installation which is expected to be completed by April 13, 2012.
February 15, 2012 - letter from Crosier Kilgour & Partners summarizing the evolution of the project and to respond to concerns regarding the time required to complete the pool repairs and Code required upgrade modifications. The letter includes the following statement:
"...significant changes in the scope of work were revealed during construction. The changes in scope were primarily related to pre-existing conditions associated with corrosion that were only revealed through the demolition phase of the project which unfortunately increased the project duration..."

Mr. Wiens indicated that the project started as a plan to upgrade tile and it ballooned into a major restoration project as more structural work and building code upgrades were added on as the project evolved. The initial budget for the project was \$260,000.00 and the final cost was \$580,000.00.



The tenants have not been advised of the expected completion date as this is still not firm. The

project is expected to be completed in April 2012 but the landlord does not want to give the tenants a completion date until they can be sure that it is accurate.

Conclusion:

In the definitions section of The Act, a service and facility and rent are defined as follows:

"service and facility" includes ...(e) common recreational facilities

"rent" means the amount of money paid or other value given by a tenant to a landlord for

(a) the right to occupy a rental unit, and

(b) the use of common areas, services and facilities, privileges, accommodations or other things relating to the use, occupation or enjoyment of the rental unit, whether or not a separate charge is made for them,

and includes the value of any rent discount given by the landlord as determined in accordance with the regulations, but does not include a tenant services charge;

Compensation for breach of Act or agreement

55(1) A landlord or a tenant who breaches a tenancy agreement or contravenes this Act is liable to compensate the other party to the agreement for loss suffered by that party as a result of the breach or contravention.

Obligation to repair

59(1) During a tenancy, a landlord shall provide and maintain

(a) the rental unit and the residential complex; and

(b) the services and facilities expressly or impliedly promised by the landlord, whether or not included in a written tenancy agreement;

in a good state of repair, fit for habitation and in a state that complies with health, building and maintenance and occupancy standards required by law.

Duty not to withhold services and facilities or tenant services

61(1) A landlord shall not withhold, reduce or interfere with, or threaten to withhold, reduce or interfere with

(a) any services and facilities supplied to a rental unit or residential complex; or

(b) any tenant services provided to a tenant;

that the landlord has expressly or impliedly promised to supply or provide under a tenancy agreement.

Services not specified in agreement

61(2) If services and facilities or any tenant services are reasonably related to the continued use and occupancy of a rental unit, but are not expressly or impliedly provided for in the tenancy agreement, the landlord shall ensure that they are continued.

Exceptions

61(3) Subsections (1) and (2) do not apply to the extent that

(a) any services and facilities or tenant services are reduced or withheld temporarily for the purpose of repair or replacement, on reasonable notice to the tenants;

(b) any services and facilities are reduced or withdrawn in accordance with an order under Part 9 permitting the reduction or withdrawal; or

(c) any tenant services are reduced or withdrawn in accordance with

(i) a notice of the reduction or withdrawal given under Part 9.1, and

(ii) if applicable, an order under Part 9.1 permitting the reduction or withdrawal.

Application re reduction of services

138(1) A landlord who intends to reduce or withdraw a service, facility, privilege, accommodation or thing relating to the use or enjoyment of one or more rental units shall

(a) give the tenant of each rental unit affected by the reduction or withdrawal a notice in the

prescribed form not later than three months before the effective date of the reduction or withdrawal; and
(b) apply to the director in the prescribed form not later than 14 days after the beginning of the three-month period referred to in clause (a) for an order fixing the value of the reduction or withdrawal.

Application if reduction beyond landlord's control

138(2) Despite subsection (1), when a reduction or withdrawal is beyond the control of the landlord, the director may permit an application to be made under subsection (1) at any time.

Based on the evidence presented, I do not agree that section 138 is applicable in this case. An application pursuant to section 138 would be made in situations where a landlord intends to reduce or withdraw a service, facility, privilege, accommodation or thing for the foreseeable future. Based on the evidence presented, I do not find that this is a situation in which the landlord intends to reduce or withdraw the use of the pool facility in the rental complex without an end date in view, and so section 138 does not apply.

In terms of interpretation of the statute in question, I agree that the word "temporary" should be taken in context. Section 61(3) includes the phrase "temporarily for the purpose of repair or replacement". I interpret this to mean that, where a service or facility is withdrawn for the purpose of repair or replacement, it is considered withdrawn "temporarily". In such a situation, a landlord's duty not to withhold, reduce or interfere with services and facilities, as set out in section 61(1) would not apply.

I find that the landlord had an obligation pursuant to section 59 of the Act to undertake and complete the repairs and renovations and has undertaken the restoration in a timely fashion.

Section 55 of the Act says that when someone violates responsibilities and causes a loss to the other party, then he or she must compensate the other party for the loss. I agree that the tenant suffered a temporary loss of the use of the pool facility and is not getting what he bargained for, however I do not find that the loss was caused by the landlord, nor that it is due to a breach of the landlord's responsibilities according to the Act.

The tenant's claim fails therefore no compensation or costs are awarded.

March 19, 2012

Date

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